



**SYN Ventures Fund II LP and SYN
Ventures Fund II-A LP
(Both Delaware Limited Partnerships)
Combined Financial Statements
December 31, 2024**

To the Partners of
SYN Ventures Fund II LP
and SYN Ventures Fund II-A LP
West Palm Beach, Florida

INDEPENDENT AUDITOR'S REPORT



Certified
Public
Accountants

Opinion

We have audited the accompanying combined financial statements of SYN Ventures Fund II LP and SYN Ventures Fund II-A LP (both Delaware Limited Partnerships) (collectively, the Partnership), which comprise the combined statement of assets, liabilities and partners' capital, including the combined schedule of portfolio investments, as of December 31, 2024, and the related combined statements of operations, changes in partners' capital and cash flows for the year then ended, and the related notes to the combined financial statements.

In our opinion, the combined financial statements referred to above present fairly, in all material respects, the combined financial position of the Partnership as of December 31, 2024, and the results of its combined operations, changes in partners' capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Combined Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

The General Partner's Responsibility for the Combined Financial Statements

The General Partner is responsible for the preparation and fair presentation of the combined financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of combined financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the combined financial statements, the General Partner is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern within one year after the date that the combined financial statements are available to be issued.

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Auditor's Responsibilities for the Audit of the Combined Financial Statements

Our objectives are to obtain reasonable assurance about whether the combined financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the combined financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the combined financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the combined financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by the General Partner, as well as evaluate the overall presentation of the combined financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings and certain internal control related matters that we identified during the audit.

A handwritten signature in black ink that reads "Frank, Rimmerman & Co. LLP". The signature is written in a cursive, flowing style.

San Jose, California
March 27, 2025

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnerships)
Combined Statement of Assets, Liabilities and Partners' Capital
December 31, 2024

ASSETS

Investments, at fair value (cost of \$112,113,445)	\$ 130,735,049
Cash	1,352,051
Escrow Receivable	1,704,908
Interest Receivable	118,356
Contributions Receivable	<u>26,051</u>
Total assets	<u>133,936,415</u>

LIABILITIES

Line of Credit	17,600,000
Due to Related Parties	391,647
Prepaid Capital Calls	51,973
Accounts Payable	<u>8,712</u>
Total liabilities	<u>18,052,332</u>
Net assets	<u>\$ 115,884,083</u>

Commitments (Notes 5, 6 and 7)

Net Assets Represented by Partners' Capital	
Contributed capital	\$ 124,348,754
Distributions	(7,393,330)
Net investment loss	(17,591,169)
Net realized loss on investments	(2,101,776)
Unrealized appreciation on investments	<u>18,621,604</u>
Total partners' capital	<u>\$ 115,884,083</u>

See Notes to Combined Financial Statements

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnerships)
Combined Schedule of Portfolio Investments
December 31, 2024

Investments	Industry	Country	Shares	Privately Held Investments		Unrealized Appreciation
				Cost	Fair Value	
BreachRx, Inc. Series Seed 1 Preferred Stock	Cybersecurity	USA	15,140,045	\$ 4,000,000	\$ 4,000,000	\$ -
Cranium AI, Inc. * Series Seed 2 Preferred Stock	Cybersecurity	USA	23,337,222	4,000,000	13,969,661	9,969,661
Series A-2 Preferred Stock			2,529,510	1,200,000	1,514,165	314,165
Series A-1 Preferred Stock			9,441,152	5,651,473	5,651,473	-
				10,851,473	21,135,299	10,283,826
Crash Override, Inc. * Series Seed Preferred Stock	Cybersecurity	USA	3,685,897	2,875,000	4,215,929	1,340,929
Series Seed-1 Preferred Stock			5,245,672	5,999,999	5,999,999	-
				8,874,999	10,215,928	1,340,929
Mitigia Security Inc. * Series B Preferred Stock	Cybersecurity	USA	118,953,769	12,675,000	12,675,000	-
Oomnitza Inc. * Series Seed Preferred Stock	Cybersecurity	USA	874,781	3,988,211	3,988,211	-
Series B Preferred Stock			2,175,536	9,918,479	9,918,479	-
Series B-1 Preferred Stock			1,680,388	9,918,490	9,918,490	-
				23,825,180	23,825,180	-
P0 Security, Inc * Series A Preferred Stock	Cybersecurity	USA	3,749,530	10,999,997	10,999,997	-
Predmiya Inc. (dba BeforeAI, Inc.) * Series B-1 Preferred Stock	Cybersecurity	USA	55,925,580	11,000,003	17,996,852	6,996,849
Series B-2 Preferred Stock			11,332,499	3,646,798	3,646,798	-
				14,646,801	21,643,650	6,996,849
Balances brought forward				\$ 85,873,450	\$ 104,495,054	\$ 18,621,604

*Security held is valued greater than 5% of net assets

(continued)

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnerships)
Combined Schedule of Portfolio Investments (continued)
December 31, 2024

Investments	Industry	Country	Shares	Privately Held Investments		Unrealized Appreciation
				Cost	Fair Value	
Balances carried forward				\$ 85,873,450	\$ 104,495,054	\$ 18,621,604
RegScale, Inc. *	Cybersecurity	USA				
Series A-1 Preferred Stock			6,574,645	15,539,996	15,539,996	-
Revic AI Inc.	Cybersecurity	USA				
Series Seed Preferred Stock			3,772,635	4,499,999	4,499,999	-
Synqly, Inc. *	Cybersecurity	USA				
Series Seed Preferred Stock			17,976,373	3,500,000	3,500,000	-
Convertible Promissory Note				2,700,000	2,700,000	-
				6,200,000	6,200,000	-
Total Investments (112.82% of net assets)				<u>\$ 112,113,445</u>	<u>\$ 130,735,049</u>	<u>\$ 18,621,604</u>

*Security held is valued greater than 5% of net assets

100% of investments are in the United States of America (USA) and the Cybersecurity industry (112.82% of net assets)

See Notes to Combined Financial Statements

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnerships)
Combined Statement of Operations
Year Ended December 31, 2024

Income	
Interest income on investments	\$ 118,356
Other interest income	83,361
Total income	201,717
Expenses	
Management fee	5,639,225
Professional fees and other expenses	1,097,708
Interest expense	49,774
Total expenses	6,786,707
Net investment loss	(6,584,990)
Realized Loss on Investments	
Proceeds from investments realized	299,985
Cost of investments realized	(5,999,999)
Realized loss on investments	(5,700,014)
Unrealized Appreciation on Investments	
December 31, 2023	10,283,826
December 31, 2024	18,621,604
Change in unrealized appreciation on investments	8,337,778
Net decrease in net assets resulting from operations	\$ (3,947,226)

See Notes to Combined Financial Statements

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnerships)
Combined Statement of Changes in Partners' Capital
Year Ended December 31, 2024

	General Partner	Limited Partners		Total
		SYN Ventures Fund II LP	SYN Ventures Fund II-A LP	
Balances, December 31, 2023	\$ 4,930,657	\$ 87,895,674	\$ 1,524,599	\$ 94,350,930
Contributed capital	1,422,337	30,921,557	529,815	32,873,709
Transfer of interest	(865,667)	865,667	-	-
Distributions	(319,885)	(6,954,288)	(119,157)	(7,393,330)
Net investment loss	(42,689)	(6,453,780)	(88,521)	(6,584,990)
Realized loss on investments	(258,219)	(5,361,528)	(80,267)	(5,700,014)
Change in unrealized appreciation on investments	360,748	7,842,653	134,377	8,337,778
Carried interest	(393,927)	392,595	1,332	-
Balances, December 31, 2024	<u>\$ 4,833,355</u>	<u>\$ 109,148,550</u>	<u>\$ 1,902,178</u>	<u>\$ 115,884,083</u>

See Notes to Combined Financial Statements

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnerships)
Combined Statement of Cash Flows
Year Ended December 31, 2024

Cash Flows from Operating Activities	
Net decrease in net assets resulting from operations	\$ (3,947,226)
Adjustments to reconcile net decrease in net assets resulting from operations to net cash used in operating activities:	
Purchase of investments	(60,521,793)
Proceeds on sale of investments	299,985
Realized loss on investments	5,700,014
Change in unrealized appreciation on investments	(8,337,778)
Changes in operating assets and liabilities:	
Proceeds receivable	11,887,881
Interest receivable	(118,356)
Escrow receivable	5,450
Due to related parties	(281,102)
Accounts payable	8,712
Prepaid contributions	45,548
Contributions receivable	(22,349)
Net cash used in operating activities	<u>(55,281,014)</u>
Cash Flows from Financing Activities	
Contributed capital	32,873,709
Distributions	(7,393,330)
Draws on line of credit	44,600,000
Repayments of line of credit	<u>(27,000,000)</u>
Net cash provided by financing activities	<u>43,080,379</u>
Net decrease in cash	(12,200,635)
Cash, December 31, 2023	<u>13,552,686</u>
Cash, December 31, 2024	<u>\$ 1,352,051</u>

Supplemental Schedule of Cash Flows Information

Cash paid for interest	<u>\$ 49,774</u>
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**SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements**

1. The Partnership

SYN Ventures Fund II LP (the Main Fund) is a Delaware limited partnership formed on March 4, 2022 and commenced operations on July 1, 2022. The primary purpose of the Partnership is to make venture and growth equity investments in companies that offer transformative solutions in the security sector. Smaller portions of the Main Fund's investment capital may also be deployed in seed investments and in special situation investments. The Main Fund intends to provide capital principally to venture and growth equity stage companies for technology deployment and market penetration, with an investment focus on companies that supply software, equipment, technology, goods, and services in the security sector.

The Main Fund is combined with SYN Ventures Fund II-A LP (the Parallel Fund), a Delaware limited partnership formed on March 24, 2022. The Parallel Fund shall investment pro rata with the Main Fund in each investment in accordance with the aggregate committed capital of each fund and will invest simultaneously in the same securities on the same terms and price as the Main Fund. The Main Fund and the Parallel Fund are collectively known as "the Partnership" in the combined financial statements.

The Partnership will terminate on May 3, 2032, unless terminated sooner or extended in accordance with the Limited Partnership Agreements (the Agreement). SYN Ventures GP II LLC, a Delaware limited liability company (the General Partner), with the consent of the limited partner advisory committee or a majority in interest of the limited partners, may extend the term by up to two additional one-year periods.

The Partnership is managed by SYN Ventures Management LLC, a Delaware limited liability company (the Investment Advisor). At December 31, 2024, the Partnership's committed capital was \$300,000,000.

2. Significant Accounting Policies

Basis of Combined Financial Statement Presentation:

The Partnership prepares its combined financial statements under the accrual method of accounting in accordance with accounting principles generally accepted in the United States of America (US GAAP). The Partnership is an investment company and follows the investment company accounting and reporting guidance of the Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) Topic 946 *Financial Services – Investment Companies*. (Topic 946).

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements

2. Significant Accounting Policies (continued)

Cash:

The Partnership considers all highly liquid investments purchased with a maturity date of three months or less to be cash equivalents. At December 31, 2024, cash is held at financial institutions and are subject to credit risk to the extent those balances exceed applicable Federal Deposit Insurance Corporation or Securities Investor Protection Corporation limitations.

Use of Estimates:

The preparation of combined financial statements in conformity with US GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the combined financial statements and reported amounts of income and expenses during the reporting period. Significant estimates established by the Partnership's management consist of valuations of investments in non-marketable securities. The values assigned to investments by the Partnership's management are considered to be the amounts that could be realized from an orderly sale or other disposition of the investments. Actual results could differ from those estimates and the differences may be material.

Valuation of Investments:

Investments typically consist of investments in privately held equity securities and convertible notes. These investments are subject to restriction on resale and are carried at estimated fair value, as determined by the General Partner, after giving consideration to recent sales prices of issuers' securities, operating results, financial condition and other pertinent information. Because of the inherent uncertainty of valuations, however, estimated fair values may differ significantly from the values that would have been used had a ready market for the securities existed, and the differences could be material. The Partnership may also have risk associated with its concentration of investments in certain geographic areas and certain industries.

The Partnership uses a three-level hierarchy for fair value measurements based on the nature of inputs used in the valuation of an asset or liability as of the measurement date. The three-level hierarchy prioritizes within the measurement of fair value, the use of market-based information over entity-specific information. Fair value focuses on an exit price and is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The inputs or methodology used for valuing securities are not necessarily an indication of the risk associated with investing in those securities.

**SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements**

2. Significant Accounting Policies (continued)

Valuation of Investments: (continued)

An investment's categorization within the fair value hierarchy is based upon the lowest level of input that is significant to the fair value measurement.

The three-level hierarchy for fair value measurements is defined as follows:

Level I: Inputs to the valuation methodology are quoted prices (unadjusted) for identical assets or liabilities in active markets.

Level II: Inputs to the valuation methodology include quoted prices for similar assets and liabilities in active markets, and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the financial instrument.

Level III: Inputs to the valuation methodology, which are significant to the fair value measurement, are unobservable.

Level III Valuation Techniques

The valuation of non-public investments requires significant judgment by the General Partner due to the absence of quoted market values, inherent lack of liquidity and the long-term nature of such assets. A variety of factors are reviewed by the General Partner, including, but not limited to, financing and sales transactions with third parties, current operating performance and future expectations of the particular investment, changes in market outlook and the third-party financing environment. Investments for which market prices are not observable include private investments in equity and convertible notes of operating companies.

Private equity investments – The fair value of private equity investments is valued initially based upon transaction price and may continue to be valued at cost for a period after acquisition, as this has been determined to be the best indicator of fair value. The fair values of private equity instruments are determined by reference to projected earnings multiples, the discounted cash flow method, public market or private transactions, valuations for comparable companies and other measures which, in many cases, are unaudited at the time received. Valuations may be derived by reference to observable valuation measures for comparable companies or transactions (e.g. multiplying a key performance metric of the investee company by a relevant valuation multiple observed in the range of comparable companies or transactions), adjusted by the General Partner for differences between the investment and the referenced comparable, and in some instances by reference to option pricing models or other similar methods.

**SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements**

2. Significant Accounting Policies (continued)

Valuation of Investments: (continued)

Level III Valuation Techniques (continued)

Convertible notes – The fair value of convertible notes is estimated based on their net realizable value as determined by the General Partner after giving consideration to the terms of the note agreement, accrued interest, preferential payment multiples and conversion factors.

Gains or Losses on Investments:

Realized gains or losses on investments represent the difference between the cost of the investments and the related price on the date of sale, distribution or disposal. When investment securities are sold or distributed to the partners, gains or losses are classified as realized. The difference between the original cost and the estimated fair value of investments owned at the end of the period represents cumulative unrealized gain or loss.

Allocation of Profits and Losses:

All items of gain, loss, income and expenses are allocated to the partners in a manner that is consistent with distributions, determined as if the Partnership were to liquidate at the reporting date.

Distributions:

Pursuant to the Agreement, tax distributions may be made to each partner for an amount equal to the excess of the highest marginal tax rate multiplied by the income earned, over the total discretionary distributions made during the year.

Discretionary cash and in-kind distributions are made in accordance to the Agreement. The following provisions generally apply:

First, on a preliminary basis, pro rata to each partner. Amounts allocated to the General Partner shall be distributed to the General Partner. Amounts allocated to the limited partners shall be finally distributed between the General Partner and each limited partner as follows:

- First, 100% to the limited partner until amounts distributed under this section equals capital contributions;
- Thereafter, 20% to the General Partner and 80% to the limited partner.

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements

2. Significant Accounting Policies (continued)

Income Taxes:

Income taxes on Partnership income are the responsibility of the individual partners; accordingly, no provision for income taxes is included in the accompanying combined financial statements. Partners' capital reflected in the accompanying combined financial statements does not necessarily represent the partners' tax basis of their respective interests.

The Partnership recognizes the tax benefits of uncertain tax positions only where the position is "more likely than not" to be sustained assuming examination by tax authorities. The General Partner has analyzed the tax positions and has concluded that no liability for unrecognized tax benefits should be recorded related to uncertain tax positions taken in the Partnership's tax returns. The Partnership does not anticipate any significant increases or decreases of unrecognized tax benefits during the next twelve months.

The Partnership recognizes interest and, if applicable, penalties for any uncertain tax positions. Interest and penalty expense will be recorded as a component of income tax expense. No interest or penalties were recorded in the 2024 or accrued for as of December 31, 2024.

Generally, the federal statute of limitations for partnerships is three years after the later of (i) the date the Partnership's return was filed or (ii) the last day for filing the return. The state statute is generally four years. As such, the Partnership remains subject to federal and state income tax examinations since inception.

3. Fair Value Measurements of Financial Instruments

In June 2022, the FASB issued Accounting Standards Update (ASU) 2022-03, *Fair Value Measurement of Equity Securities Subject to Contractual Sale Restrictions* (2022-03). The standard clarifies that under ASC Topic 820 a contractual sale restriction on the holder of an equity security is not considered part of the unit of account of the equity security itself and, therefore, should not be considered in measuring fair value. The standard is expected to increase comparability of financial information, reduce diversity in practice and reduce the cost and complexity in measuring fair value.

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements

3. Fair Value Measurements of Financial Instruments (continued)

For investment companies, as defined under ASC Topic 946, the standard is effective for fiscal years beginning after December 15, 2024, and all interim periods within those fiscal years and early adoption is permitted. The Partnership shall apply the standard to an equity security that becomes subject to sale restriction after adoption. For equity securities that are subject to a contractual sale restriction before the date of adoption, the Partnership shall continue to account for the equity security using the policy applied before adoption. The Partnership early adopted ASU 2022-03 and there was no impact to the Partnership's combined financial statements or disclosures.

The following table presents the financial instruments carried at fair value as of December 31, 2024, by the three-level valuation hierarchy:

	<u>Level I</u>	<u>Level II</u>	<u>Level III</u>	<u>Total</u>
Preferred stock	\$ -	\$ -	\$ 128,035,049	\$ 128,035,049
Convertible notes	-	-	2,700,000	2,700,000
Total	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 130,735,049</u>	<u>\$ 130,735,049</u>

At December 31, 2024, fair value for items categorized in Level III of the fair value hierarchy was based on quantitative unobservable inputs not internally developed. Such items include financial instruments for which the determination of fair value is based on prices from prior transactions or third-party pricing information without adjustment.

The table below presents the purchases for investments classified by the Partnership within Level III of the fair value hierarchy, during the year ended December 31, 2024:

	<u>Preferred Stock</u>	<u>Convertible Notes</u>	<u>Total</u>
Purchases	\$ 57,821,793	\$ 2,700,000	\$ 60,521,793

There were no fair value transfers into or out of Level III for the year ended December 31, 2024.

4. Partners' Capital

The Partnership's combined committed capital is \$300,000,000 at December 31, 2024. Contributions of \$124,348,754 (41.45% of committed capital) have been called through December 31, 2024.

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements

4. Partners' Capital (continued)

Committed capital is reconciled to partners' capital at December 31, 2024, as follows:

		Limited Partners		
	General Partner	SYN Ventures Fund II LP	SYN Ventures Fund II-A LP	Total
Committed capital	\$ 10,980,000	\$ 284,185,000	\$ 4,835,000	\$ 300,000,000
Contributions transferred	824,771	(824,771)	-	-
Less amount not yet called	<u>(6,424,795)</u>	<u>(166,395,471)</u>	<u>(2,830,980)</u>	<u>(175,651,246)</u>
Contributed capital	5,379,976	116,964,578	2,004,020	124,348,754
Transfer of interest	(865,667)	865,667	-	-
Distributions	(319,885)	(6,954,288)	(119,157)	(7,393,330)
Net investment loss	(159,521)	(17,193,985)	(237,663)	(17,591,169)
Net realized loss on investments	(90,734)	(1,977,169)	(33,873)	(2,101,776)
Unrealized appreciation on investments	807,378	17,541,108	300,118	18,621,604
Carried interest	<u>81,808</u>	<u>(70,541)</u>	<u>(11,267)</u>	<u>-</u>
Balances, December 31, 2024	<u>\$ 4,833,355</u>	<u>\$ 109,148,550</u>	<u>\$ 1,902,178</u>	<u>\$ 115,884,083</u>

5. Management Fee and Other Partnership Expenses

The Agreement provides for the payment of a management fee to the Investment Advisor. The management fee, which is payable at the beginning of each quarter, is equal to 0.50% of the total committed capital of the limited partners. Beginning October 1, 2027 and continuing through June 30, 2030, the annual management fee percentage will be reduced to 1.5%. Beginning July 1, 2030 and continuing through May 3, 2032, the annual management fee percentage will be reduced to 1.0%. Thereafter, if the term is extended, the annual management fee percentage will be reduced to 1.0% of the aggregate cost basis of investments remaining which have not been permanently written down. The management fee incurred by the Partnership during the year ended December 31, 2024 was \$5,639,225.

The General Partner and Investment Advisor bear all normal operating costs and expenses incurred in connection with the management of the Partnership. The Partnership bears all costs and expenses incurred in the purchase, holding, sale or exchange of securities. Such costs include interest on indebtedness incurred by the Partnership, organizational and syndication costs, and certain legal and accounting fees and other expenses, which are specifically defined in the Agreement.

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements

6. Line of Credit

The Partnership had an unsecured credit facility agreement with a commercial bank available for the lesser of \$10,000,000 and 50% of uncalled capital through June 24, 2024 (the Line of Credit). In June 2024, the Partnership extended the Line of Credit through June 24, 2025, with a decrease to available borrowings of the lesser of \$5,000,000 and 50% of uncalled capital. Upon certain conditions, the Line of Credit may increase to the lesser of \$20,000,000 and 67% of uncalled capital. Interest accrues at the prime rate minus 0.75% (6.75% at December 31, 2024) and is payable monthly. Interest expense incurred on the Line of Credit for the year ended December 31, 2024 was \$49,774. As of December 31, 2024, there was a \$17,600,000 outstanding balance on the line of credit.

7. Related Party Transactions

The Partnership considers the General Partner and the Investment Advisor, their principal owners, members of management, and members of their immediate families, as well as entities under common control, to be related parties to the Partnership. Amounts due from and due to related parties are generally settled in the normal course of business without formal payment terms.

At December 31, 2024, the Partnership had a net payable of \$391,647 to SYN Venture Fund LP (SYN I), an entity under common control of the Investment Advisor, and the Investment Advisor for amounts paid by SYN I on behalf of the Partnership.

Members of the General Partner serve as members of the boards of directors of certain investments.

8. Risks and Uncertainties

The Partnership's investing activities expose their investments to various risks such as market risk, liquidity risk, and credit risk. Certain events particular to each industry in which the Partnership invests, as well as general economic and political conditions, may have a significant negative impact on the investment's operations and profitability. In addition, the Partnership is subject to changing regulatory and tax environments. Such events are beyond the Partnership's control, and the likelihood that they may occur cannot be predicted.

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements

8. Risks and Uncertainties (continued)

Investment Risks Related to Private Companies

Most of the Partnership's investments are private operating companies whose shares do not trade on established exchanges. While it is expected that these companies may pursue initial public offerings, trade sales, or other liquidation events, there are generally no public markets for these investments at the current time. The Partnership's ability to liquidate their private operating companies and realize value is subject to significant limitations and uncertainties.

Geopolitical, Economic and Market Conditions

Geopolitical risks from military conflict, international political strategy and escalating international tensions have contributed to uncertainty in the geopolitical and regulatory landscapes. Similarly, natural disasters, climate change-related events, and pandemics or health crises may arise and be accompanied by governmental actions. Any such events and responses, including regulatory developments, may cause significant volatility and declines in the global markets, disproportionate impacts to certain industries or sectors, disruptions to commerce (including to economic activity, travel and supply chains), loss of life and property damage, and may adversely affect the global economy or capital markets.

The estimates and assumptions underlying these combined financial statements are based on the information available, including judgments about the financial market and economic conditions which may change over time.

9. Financial Highlights

The Partnership is required to disclose financial highlights for the common interest in the Partnership (i.e. the limited partners' interest). These financial highlights consist of the operating expenses and net investment loss ratios for the year ended December 31, 2024, and the Internal Rate of Return (IRR) since inception of the limited partners, net of all fees and profit allocations (carried interest) to the General Partner, through December 31, 2023 and 2024. The following summarizes the limited partners' financial highlights:

SYN Ventures Fund II LP and SYN Ventures Fund II-A LP
(Both Delaware Limited Partnership)
Notes to Combined Financial Statements

9. Financial Highlights (continued)

The following summarizes the limited partners' financial highlights:

	SYN Ventures Fund II LP	SYN Ventures Fund II-A LP
Average net assets for 2024	<u>\$ 93,508,671</u>	<u>\$ 1,635,947</u>
Ratios to average net assets:		
Net investment loss	<u>(6.90)%</u>	<u>(5.41)%</u>
Operating expenses	<u>(7.10)%</u>	<u>(5.60)%</u>
Incentive allocation	<u>0.42 %</u>	<u>0.08 %</u>
Total operating expenses and incentive allocation	<u>(6.68)%</u>	<u>(5.52)%</u>
Cumulative IRR through December 31, 2024	<u>(0.96)%</u>	<u>0.57 %</u>
Cumulative IRR through December 31, 2023	<u>2.34 %</u>	<u>3.69 %</u>

The net investment loss and operating expense ratios are computed as a percentage of average net assets. The total operating expenses and incentive allocation adjust the operating expenses before incentive allocation calculation for the General Partner's carried interest.

The IRR was computed based on the monthly cash inflows (capital contributions), outflows (cash and stock distributions), and the ending net assets at the end of the period (residual value) of the limited partners' capital account as of each measurement date.

The information reflected above is calculated for the limited partners taken as a whole. An individual partner's results may vary based on a variety of factors, including the timing of capital transactions and different fee arrangements.

These financial highlights may not be indicative of the future performance of the Partnership.

10. Subsequent Events

Subsequent events have been evaluated through March 27, 2025, the date the combined financial statements were available to be issued. The Partnership did not have any such events requiring recognition or disclosure to the combined financial statements.